

Customer Shopping Behavior Analysis

1. Project Overview

This project analyzes customer shopping behavior using transactional data from 3,900 purchases across various product categories. The goal is to uncover insights into spending patterns, customer segments, product preferences, and subscription behavior to guide strategic business decisions.

2. Dataset Summary

- Rows: 3,900
- Columns: 18
- Key Features:
 - Customer demographics (Age, Gender, Location, Subscription Status)
 - Purchase details (Item Purchased, Category, Purchase Amount, Season, Size, Color)
 - Shopping behavior (Discount Applied, Promo Code Used, Previous Purchases, Frequency of Purchases, Review Rating, Shipping Type)
- Missing Data: 37 values in Review Rating column

3. Exploratory Data Analysis using Python

We began with data preparation and cleaning in Python:

- **Data Loading:** Imported the dataset using `pandas`.
- **Initial Exploration:** Used `df.info()` to check structure and `.describe()` for summary statistics.

	Customer ID	Age	Gender	Item Purchased	Category	Purchase Amount (USD)	Location	Size	Color	Season	Review Rating	Subscription Status	Shipping Type	Discount Applied
count	3900.000000	3900.000000	3900	3900	3900	3900.000000	3900	3900	3900	3900	3863.000000	3900	3900	39
unique	NaN	NaN	2	25	4	NaN	50	4	25	4	NaN	2	6	
top	NaN	NaN	Male	Blouse	Clothing	NaN	Montana	M	Olive	Spring	NaN	No	Free Shipping	
freq	NaN	NaN	2652	171	1737	NaN	96	1755	177	999	NaN	2847	675	22
mean	1950.500000	44.068462	NaN	NaN	NaN	59.764359	NaN	NaN	NaN	NaN	3.750065	NaN	NaN	N
std	1125.977353	15.207589	NaN	NaN	NaN	23.685392	NaN	NaN	NaN	NaN	0.716983	NaN	NaN	N
min	1.000000	18.000000	NaN	NaN	NaN	20.000000	NaN	NaN	NaN	NaN	2.500000	NaN	NaN	N
25%	975.750000	31.000000	NaN	NaN	NaN	39.000000	NaN	NaN	NaN	NaN	3.100000	NaN	NaN	N
50%	1950.500000	44.000000	NaN	NaN	NaN	60.000000	NaN	NaN	NaN	NaN	3.800000	NaN	NaN	N
75%	2925.250000	57.000000	NaN	NaN	NaN	81.000000	NaN	NaN	NaN	NaN	4.400000	NaN	NaN	N
max	3900.000000	70.000000	NaN	NaN	NaN	100.000000	NaN	NaN	NaN	NaN	5.000000	NaN	NaN	N

Discount Applied	Promo Code Used	Previous Purchases	Payment Method	Frequency of Purchases
3900	3900	3900.000000	3900	3900
2	2	NaN	6	7
No	No	NaN	PayPal	Every 3 Months
2223	2223	NaN	677	584
NaN	NaN	25.351538	NaN	NaN
NaN	NaN	14.447125	NaN	NaN
NaN	NaN	1.000000	NaN	NaN
NaN	NaN	13.000000	NaN	NaN
NaN	NaN	25.000000	NaN	NaN
NaN	NaN	38.000000	NaN	NaN
NaN	NaN	50.000000	NaN	NaN

- **Missing Data Handling:** Checked for null values and imputed missing values in the **Review Rating** column using the median rating of each product category.
- **Column Standardization:** Renamed columns to **snake case** for better readability and documentation.
- **Feature Engineering:**
 - Created **age_group** column by binning customer ages.
 - Created **purchase_frequency_days** column from purchase data.
- **Data Consistency Check:** Verified if **discount_applied** and **promo_code_used** were redundant; dropped **promo_code_used**.
- **File Exported:** File exported as CSV for further analysis in SQL and for Creation of Dashboard in Power BI

4. Data Analysis using SQL (Business Transactions)

We performed structured analysis in MySQL to answer key business questions:

1. **Revenue by Gender** – Compared total revenue generated by male vs. female customers

	gender	revenue
▶	Male	140348
	Female	66954

2. **High-Spending Discount Users** – Identified customers who used discounts but still spent above the average purchase amount.

	customer_id	purchase_amount
▶	2	64
	3	73
	4	90
	7	85
	9	97
	12	68
	13	72
	16	81
	20	90
	22	62
	29	94
	32	79
	33	67
	35	91
	37	69
	40	60
	41	76
customer 2 ×		

3. **Top 5 Products by Rating** – Found products with the highest average review ratings.

	item_purchased	average_rating
▶	Gloves	3.87480
	Boots	3.79847
	Hat	3.79237
	Socks	3.78857
	Sandals	3.78531

4. **Shipping Type Comparison** – Compared average purchase amounts between Standard and Express shipping.

	Avg_Purchase_Amount	shipping_type
▶	59.9929	Express
	58.4031	Standard

5. **Subscribers vs. Non-Subscribers** – Compared average spend and total revenue across subscription status.

	subscription_status	Total_Customers	Average_Spend	Total_Revenue
▶	Yes	941	59.4198	55914
	No	2530	59.8372	151388

6. **Discount-Dependent Products** – Identified 5 products with the highest percentage of discounted purchases.

	item_purchased	discount_rate
▶	Sneakers	55.28
	Hat	50.38
	Sweater	48.63
	Pants	48.34
	Coat	47.62

7. **Customer Segmentation** – Classified customers into New, Returning, and Loyal segments based on purchase history.

	customer_segment	number of customers
►	Loyal	2772
	Returning	625
	New	74

8. **Top 3 Products per Category** – Listed the most purchased products within each category.

	item_rank	category	item_purchased	total_order
►	1	Accessories	Jewelry	153
	2	Accessories	Sunglasses	148
	3	Accessories	Belt	142
	1	Clothing	Dress	151
	2	Clothing	Pants	151
	3	Clothing	Blouse	150
	1	Footwear	Sandals	143
	2	Footwear	Shoes	135
	3	Footwear	Boots	131
	1	Outerwear	Jacket	150
	2	Outerwear	Coat	147

9. **Repeat Buyers & Subscriptions** – Checked whether customers with >5 purchases are more likely to subscribe.

	subscription_status	repeat_buyers
►	Yes	856
	No	2237

10. **Revenue by Age Group** – Calculated total revenue contribution of each age group

	age_group	Revenue_Contribution
►	Young Adult	54271
	Middle-aged	52278
	Adult	50768
	Senior	49985

5. Dashboard in Power BI

Finally, built an interactive dashboard in **Power BI** to present insights visually.



6. Business Recommendations

- **Boost Subscriptions** – Promote exclusive benefits for subscribers.
- **Customer Loyalty Programs** – Reward repeat buyers to move them into the “Loyal” segment.
- **Review Discount Policy** – Balance sales boosts with margin control.
- **Product Positioning** – Highlight top-rated and best-selling products in campaigns.
- **Targeted Marketing** – Focus efforts on high-revenue age groups and express-shipping user.